

RISK—OR FREEDOM?

Why do people operate their own businesses? First, most successful business owners will tell you that they have tremendous freedom. They are their own bosses. Also, they tell us that self-employment is less risky than working for others.

A professor once asked a group of sixty MBA students who were executives of public corporations this question.

What is risk?

One student replied:

Being an entrepreneur!

His fellow students agreed. Then the professor answered his own question with a quote from an entrepreneur:

What is risk? Having one source of income. Employees are at risk.... They have a single source of income. What about the entrepreneur who sells janitorial services to your employers? He has hundreds and hundreds of customers ... hundreds and hundreds of sources of income.

TABLE 8-3
SELECTED BUSINESSES/OCCUPATIONS OF SELF-
EMPLOYED MILLIONAIRES

**Advertising Specialty
Distributors
Ambulance Service**

**Human Resources Consulting
Services
Industrial Chemicals-**